

MiniExam Z | Version 1

Academic Conduct Code | Name: TAYLOR Student ID: 5

☐ I will complete this MiniExam solely using my own work.
☐ I will not use any digital resources unless explicitly allowed by the instructor.
☐ I will not communicate directly or indirectly with others during the MiniExam.

10 PTS

$$10A = 2E$$
$$5A = 1E$$

	A	E
O	SE	SA
G	IE	IA

Q1 | Production and Trade 20 PTS

SP75 a) What is Ollivander's opportunity cost of making one elder wand (*include units*)?

SA ← { SPTS :: correct
3 " NO units
1 :: incorrect
IE ←

5075 b) What is Gregorovich's opportunity cost of making one ash wand (include units)?

1E

c) Who has the comparative advantage in making ash wands (include units)?

Oll:vander

2 PTS :: CORRECT
0 :: incorrect

8pts d) Circle all exchange rates that could facilitate trade between the wandmakers:

1 elder wand for 2 ash wands

2PTS EACH

1 elder wand for 3 ash wands

1 elder wand for 4 ash wands

1 elder wand for 6 ash wands

Q2 | Market and Externalities 35 PTS

The market for ash wands can be represented by:

$$D : P = 120 - Q_B \quad (1)$$

$$S : P = 20 + Q_S \quad (2)$$

8 PTS a) What is the market equilibrium quantity? 50 8 PTS :: correct
7 :: small math error
0 :: incorrect

8 PTS b) What is the market equilibrium price? 70 2 PTS :: correct
0 PTS :: incorrect

However, the process of treating wandwood releases polluted water into the local river, causing environmental damage estimated at 20 Galleons per wand produced.

8 PTS c) What is the socially efficient quantity? 40 8 PTS :: correct
7 pts :: small math error
0 pts :: incorrect MSB = MSC
 $120 - Q = 20 + Q + 20$

4 PTS d) What corrective policy would achieve this quantity? Tax 4 PTS :: correct
2 PTS :: subsidy
0 pts :: anything else

3 PTS e) What should the size of this corrective policy be? 20 3 PTS :: correct or -20
0 pts :: incorrect

Q3 | Common Resource Problem 20 PTS

Two wandmakers share access to a magical forest where they gather wandwood. Each must decide whether to harvest sustainably or over-harvest. The payoff matrix shows their daily profits in Galleons:

		Gregorovitch		(3)
		S	OH	
Ollivander	Sustainable (S)	6, 7	1, 9	
	Over-Harvest (OH)	7, 0	2, 1	

4 PTS a) What is Ollivander's best response when Gregorovitch chooses Sustainable? OH 4 PTS :: correct
2 PTS :: 7

4 PTS b) What is Ollivander's best response when Gregorovitch chooses Over-harvest? OH 4 PTS :: correct
2 PTS :: 2

4 PTS c) What is/are the Nash Equilibrium/Equilibria? (OH, OH) 4 PTS :: correct
2 PTS :: (2, 1) 0 :: incorrect

4 PTS d) What is the socially efficient outcome? (S, S) same as c)

Q4 | Market Structure 15 PTS

Currently, only Ollivander sells elder wands in Britain. If Gregorovitch expands his business to Britain, creating competition, circle the expected change in each of the following:

PTS Price: UP, DOWN, SAME 3 PTS :: correct
PTS Quantity: UP, DOWN, SAME 0 PTS :: incorrect
PTS Deadweight Loss: UP, DOWN, SAME